

# HDFC Bank Ltd (HDFCBANK)

Sector: Financials

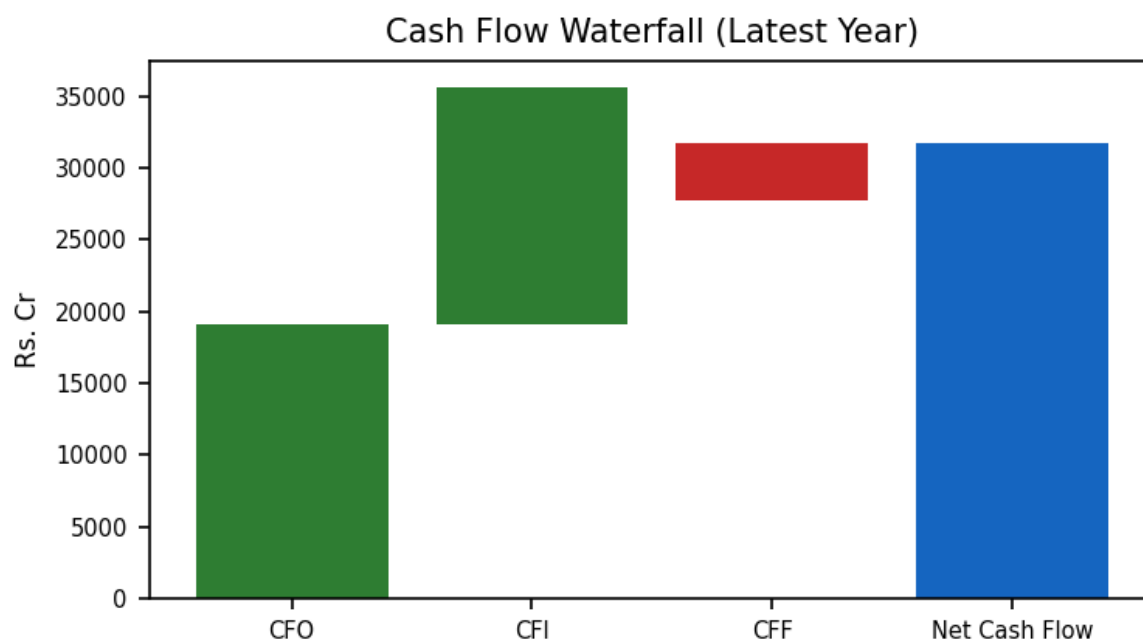
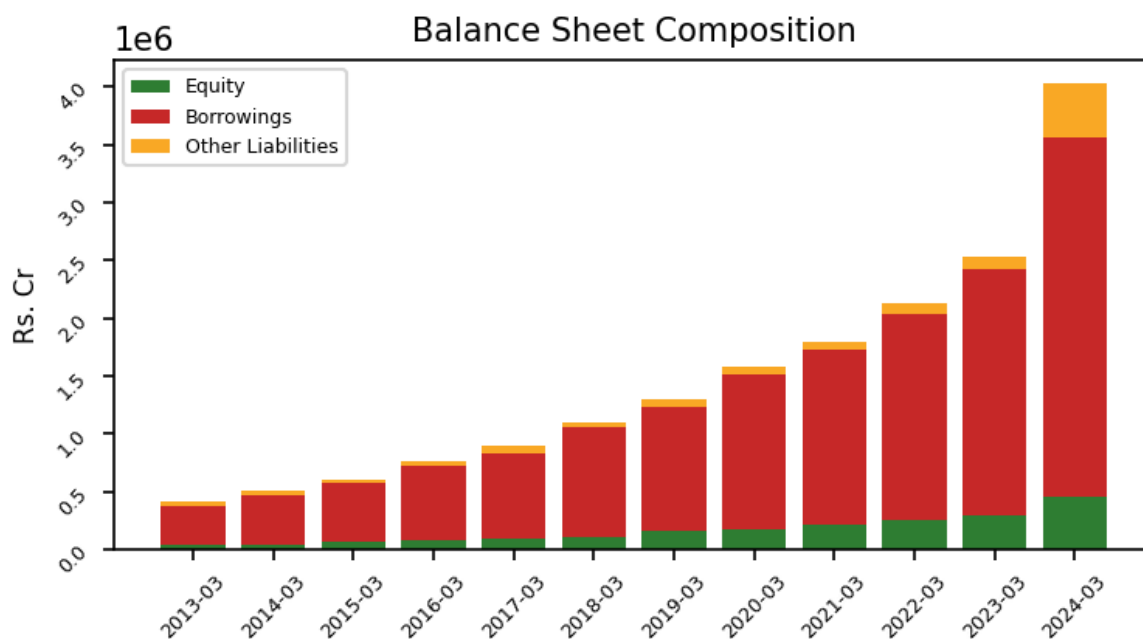
| Metric                  | Value |
|-------------------------|-------|
| Revenue CAGR (5yr)      | 18.3% |
| Profit (PAT) CAGR (5yr) | 19.1% |
| Return on Equity        | 14.3% |
| Debt to Equity          | 6.81  |
| Interest Coverage       | 1.4x  |
| Operating Margin        | 61.4% |
| Dividend Payout Ratio   | 23.0% |

## Summary

Strong 5-year revenue CAGR of 18.3%; Strong 5-year profit (PAT) CAGR of 19.1%; Operating margin expanded from 36.9% to 61.4%; Company is expected to give good quarter; Company has delivered good profit growth of 23.4% CAGR over last 5 years; Company has been maintaining a healthy dividend payout of 22.9%; Company's median sales growth is 16.4% of last 10 years

High leverage: debt-to-equity of 6.81; Weak interest coverage of 1.4x; Stock is trading at 2.76 times its book value; Company has low interest coverage ratio.; Contingent liabilities of Rs.24,09,821 Cr.; Earnings include an other income of Rs.1,55,870 Cr.

# HDFCBANK — Financial Charts & Assessment



## Pros

- + Strong 5-year revenue CAGR of 18.3%
- + Strong 5-year profit (PAT) CAGR of 19.1%
- + Operating margin expanded from 36.9% to 61.4%
- + Company is expected to give good quarter
- + Company has delivered good profit growth of 23.4% CAGR over last 5 years
- + Company has been maintaining a healthy dividend payout of 22.9%
- + Company's median sales growth is 16.4% of last 10 years

## Cons

- High leverage: debt-to-equity of 6.81
- Weak interest coverage of 1.4x
- Stock is trading at 2.76 times its book value
- Company has low interest coverage ratio.
- Contingent liabilities of Rs.24,09,821 Cr.
- Earnings include an other income of Rs.1,55,870 Cr.

## Capital Allocation: Deleveraging